Procurement Strategy Memo – FY25 Planning Cycle

Background: Apex Auto Components Ltd. has historically relied on imported alloy steel to optimize cost structures. Imported material accounts for 28% of total BOM cost.

Current Position: The sourcing strategy assumes imports are 6–8% cheaper than domestic suppliers based on an exchange rate assumption of $78/USD embedded in ERP models.

Risk Assessment: Recent INR depreciation and volatility in freight rates may have eroded this cost advantage. Internal cost models have not been refreshed post FX movement.

Key Observations: - FX assumption outdated and not benchmarked to RBI reference rate - Freight rates normalized post COVID but still volatile - Domestic suppliers improving cost competitiveness and reliability

Action Required: Revalidate landed cost assumptions using latest FX rates and reassess import vs domestic sourcing mix ahead of annual contracting cycle.